Should Clay build a U.S. industrial vertical?

Vertical expansion and go-to-market strategy, 2027–2029 · revised after partner review

The decision: should Clay place incremental vertical GTM investment in 2027 — and if so, where and through which motion?

Option 0

No vertical bet — stay horizontal

Recommended default

Option 1

Industrial distribution — sales-led vertical team

Option 2

Manufacturing focus

Option 3

Professional services focus

Option 4

Distribution: validate first (≤ $0.2M), then a no-team solution play only on evidence

Only as a capped test

Independent strategy case study · Zhuoran (Zora) Wang · October 2026 · v2

Not commissioned by, affiliated with, or endorsed by Clay Labs Inc. Built entirely from public data; no interviews or internal Clay data were used. All forward-looking figures are scenario estimates, not Clay forecasts.

Recommendation: don't fund a vertical in 2027 — spend at most ~$0.2M to test the assumptions that could change that

1. **Distribution is where Clay is most differentiated**

   Distributors' customers are hard to find in standard databases (competitive position 4.0 vs 2.3 for professional services), and 22% of distribution staff sell.

2. **But at list prices the economics don't work**

   Usage-based ACV is ~$5.4K (SMB) and ~$9.7K (mid-market). Distribution lean pilot NPV −$1.89M at 12%; a sales-led team −$5.44M.

3. **No staffed option beats putting the money into Clay's core**

   Every staffed option loses to Option 0, and P(NPV > 0) is ≈0% across 5,000 correlated draws (≤ 10% even with 2× wider ranges).

4. **So validate first, then decide**

   A ≤ $0.2M, two-quarter sprint in 4236 and 4238 measures ACV, demand, conversion, coverage and partners. Go to a no-team solution play only if pre-set thresholds pass; otherwise stop.

The decision

Option 0

default: no vertical cost line in 2027

≤ $0.2M

validation sprint cap, Nov 2026 – Mar 2027

≥ $14.6K

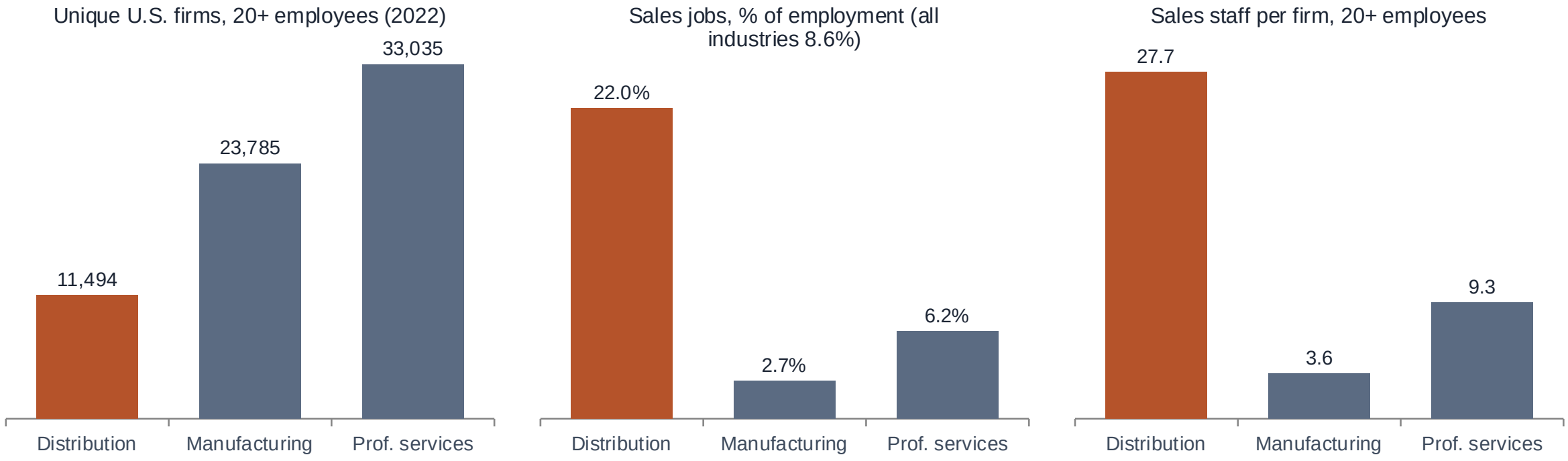
mid-market ACV the sprint must show (mandatory test)

~$0.2M

maximum loss if the sprint says stop (v1 pilot: ~$1.0M)

Sources: 07_Financial_Model v2 (NPV at 12%, Monte Carlo; scenario estimates [C/D]); 06_Segment_Prioritization v2; 02_Market_Sizing v2; Census 2022 (S14); BLS OEWS May 2025 (S15).

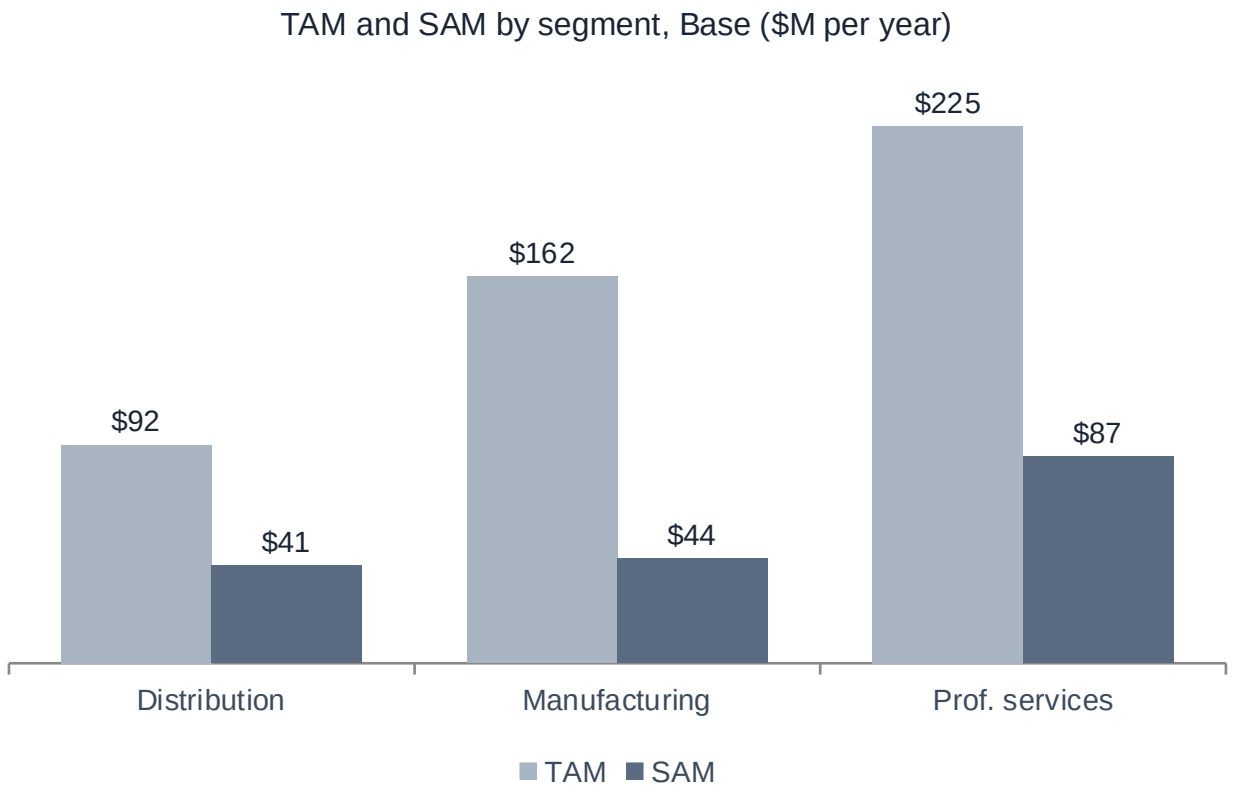
Distribution has the fewest firms but by far the most sellers per firm



So what Distribution trades market breadth for need intensity: an in-scope distributor employs ~28 sales staff, ~3× a professional-services firm. Tools priced per seat charge for every one of them; Clay's plans do not. Whether that density turns into revenue is the question the rest of the deck tests.

Sources: U.S. Census Bureau, 2022 Economic Census, Employment Size of Firms (S14) — firms, not establishments, de-duplicated [C]; BLS OEWS May 2025 (S15). Cores: NAICS 4235–4238 · 326/332/333/335 · 5413/5415/5416/5418.

At realistic ACVs, each vertical is worth ~0.6–1.2% of Clay's ARR — an option, not a pivot



Segment	SOM, year-3 ARR	% of Clay est. ARR	ACV: SMB / MM / Ent
Distribution	$1.2M	0.6%	**$5.4K / $9.7K / $61.7K**
Manufacturing	$1.2M	0.6%	$5.4K / $5.4K / $44.3K
Professional services	$2.4M	1.2%	$5.4K / $5.4K / $44.3K

What changed (v2)
ACV now follows each segment's sellers per firm and Clay's published usage meters, instead of a uniform $7.5K / $20K / $60K. SMB sits at the $5,352 Growth floor everywhere; only distribution's mid-market rises above it.

v1 TAM: $131M / $281M / $385M. Even the compounded High SOM stays below ~4% of Clay's ARR.

Refined in Phase 4 Program SAM: ~4,450 distributors (NAICS 4236–4238, CRM in use, not yet Clay customers).

Sources: 02_Market_Sizing v2 — Census 2022 (S14); usage-based ACV at Clay list prices (S01); CRM in use 56% for distribution (S25). Clay ARR ~$200M is a Sacra estimate (S23). Penetration is uniform across segments by design, so SOM is an assumption-driven sizing [C/D].

Clay's edge is largest where adoption is hardest: distributors' customers are least visible online and their teams least technical

Indicator	Distribution	Manufacturing	Prof. services
Need: sales occupations, % of employment (all industries 8.6%)	**22.0%**	2.7%	6.2%
Data gap: est. LinkedIn presence of customers' personas (lower = harder for databases)	**26% (contractors 20%)**	41%	42%
Competitive position (1–5)	**4.0**	3.3	2.3
Builder capacity: computer occupations, % of employment (all 3.4%)	2.3%	1.5%	**24.2%**
Adoption / execution fit (1–5)	2.0	1.5	**4.5**
Usage-based ACV per won account (list prices)	**$8.9K**	$7.1K	$7.1K

Green = favorable for Clay · red = unfavorable

Fit: distribution

Highest need, biggest data gap, strongest competitive position and the highest ACV per account.

Ease: professional services

Technical buyers who can self-serve — but already a Clay home market, so more wins would come anyway.

Manufacturing

Fails both tests; reach it through the distributors that sell for it (H10).

Sources: BLS OEWS May 2025 (S15); persona coverage = BLS education mix (S29) × Pew LinkedIn use by education (S28), an indirect proxy [C]; scores (1–5) from 04_Competitive_Analysis [C].

Only Clay combines off-LinkedIn data with workflow automation — but it is the hardest option to implement

Dimension (score 1–5)	Clay	Apollo	ZoomInfo	HubSpot (Breeze)	Vertical data (Dodge, Shovels)
Data coverage of industrial buyers	5	2	2	2	4
Workflow automation	5	3	3	4	1
Differentiation for industrial sellers	5	3	3	2	4
Pricing architecture	4	3	2	3	3
Ease of implementation (5 = easiest)	2	5	3	5	4

Judgment scores, not measurements: the coverage advantage is what the validation sprint must prove (test T1).

68%

of distributors rely on spreadsheets: the status quo is the main competitor (S25)

2.7×

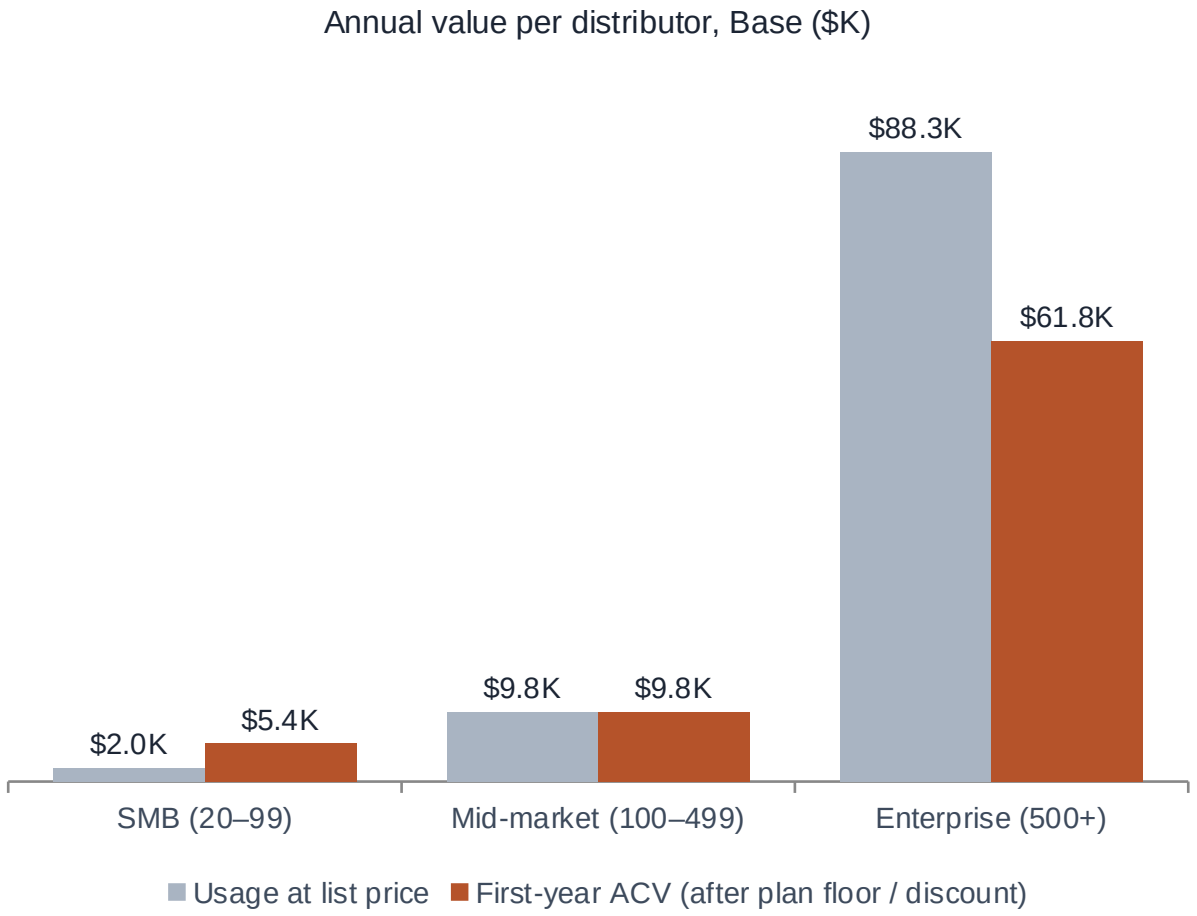
Apollo Professional's list cost vs Clay Growth for a 28-user team; 0.87× at 9 users [C]

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Clay use cases Apollo now also covers; off-LinkedIn contractor data is the gap it hasn't closed [C]

Sources: 04_Competitive_Analysis — scores are analyst judgments from public vendor documentation [C]; some capabilities rated from general knowledge [K], pending verification. Phocas/DSG 2026 (S25); Apollo pricing (S20); Sacra (S23).

Clay's edge is coverage, but at list prices it monetizes only from mid-market distributors upward



“Find the contractors and plants in your territories that your current database misses, and put them in your reps' CRM, scored by branch. No data team, no per-seat fees.”

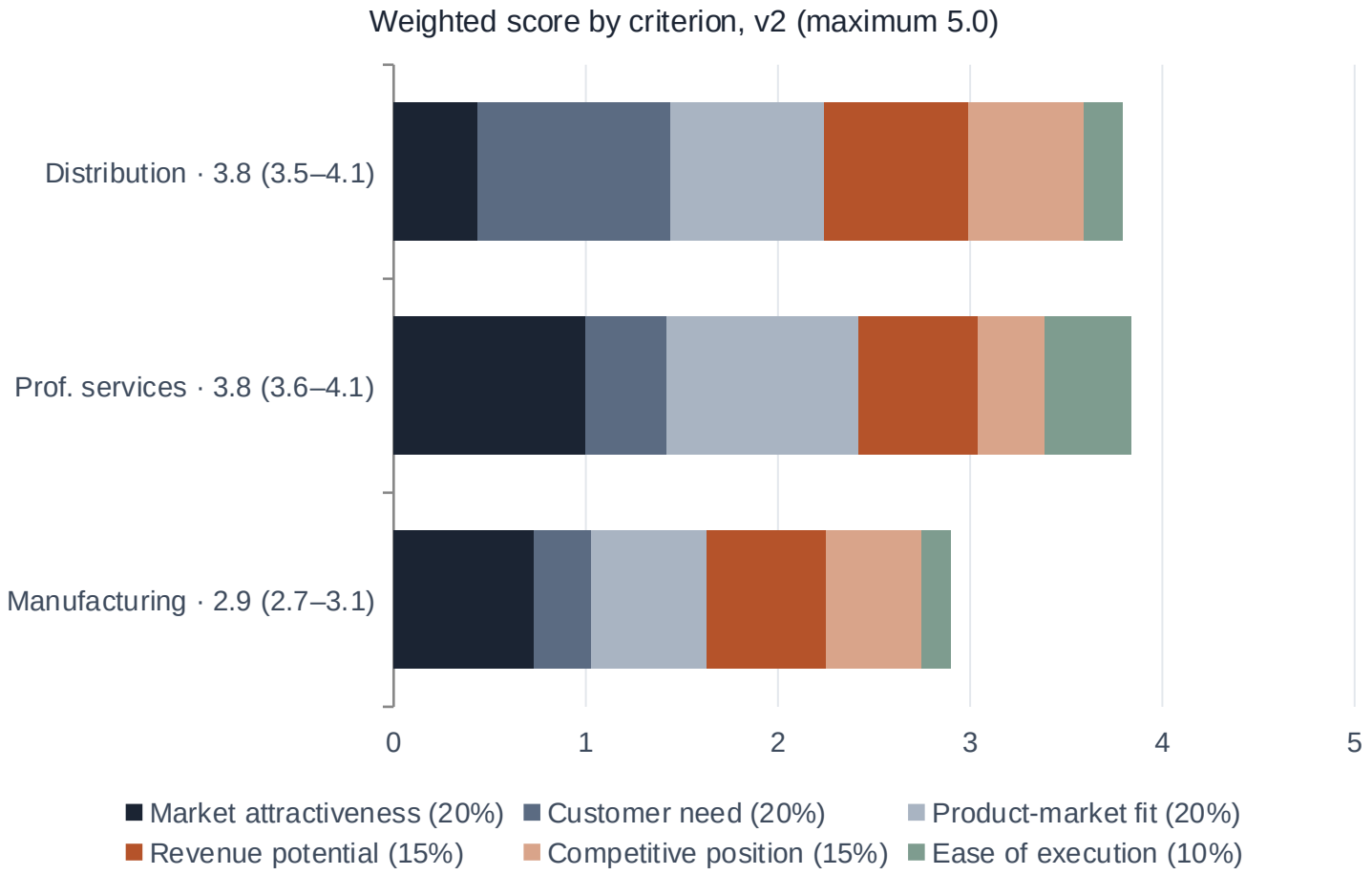
What the value proposition still has to prove

- Coverage: measured uplift vs the best single database (v1's “ZoomInfo and Apollo can't see them” is withdrawn until measured)
- Usage: committed credits worth ≥ $14.6K for a mid-market distributor (1.5× the base build)
- Demand: Clay-run outbound meeting rate ≥ 4% with contractor-facing buyers
- Delivery: partners willing to specialize — builder capacity is the adoption constraint

Not claimed: AI cross-sell from order history, replacing CRM/ERP, or efficiency gains before measurement.

Source: 07_Financial_Model v2, ACV Build — sellers per firm (OEWS sales share, S15) × 150 accounts × usage meters at published Growth rates (S01); Enterprise floor and 30% discount (S01, S16). Distribution, Base [C/D]. Needs: Phocas/DSG 2026 (S25).

Rebuilt without double counting, the segment scorecard is a tie — the tie-breakers favor distribution



Robustness is two-sided

1 vs 5

named weight sets won by distribution vs professional services

43% / 57%

of random weightings won (flat Dirichlet)

5 vs 9

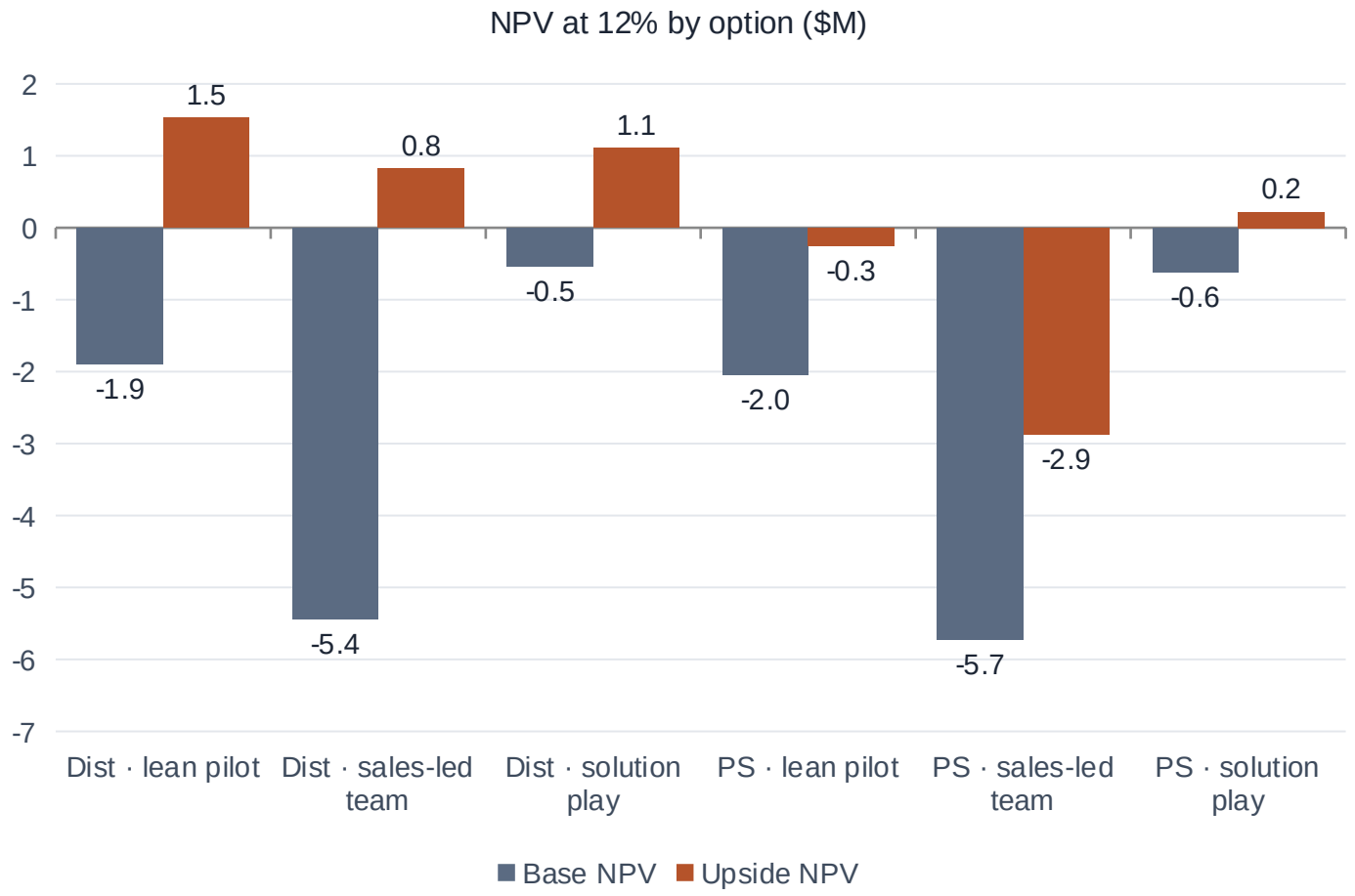
of 14 stress tests won; distribution wins with concave size scoring or a working partner channel

2–6 pts

shift in any single weight flips the order

Source: 06_Segment_Prioritization v2 — one indicator per criterion; ratio-to-max scaling; brief weights; contribution = score × weight [C]. Totals to one decimal; (range) = P10–P90 across 1,000 centered random weightings. v1 (4.0 / 2.7 / 3.4) archived. Dirichlet, seed 42.

On one engine, no staffed option clears a 12% hurdle or beats putting the same money into Clay's core

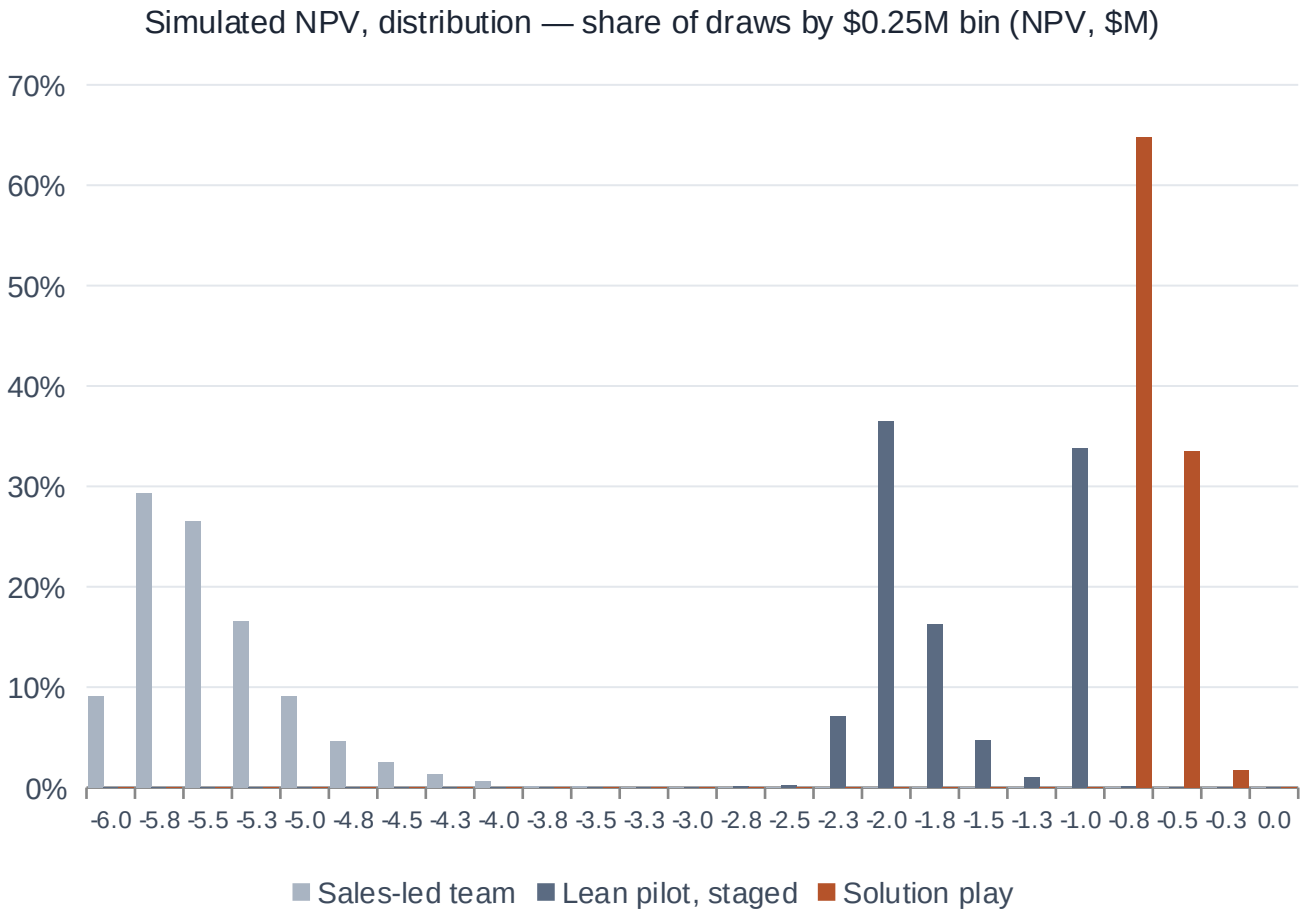


Option	Beats Option 0? Base	Upside
Dist · lean pilot	No −$3.4M	No −$0.5M
Dist · sales-led team	No −$9.2M	No −$3.2M
Dist · solution play	No −$1.1M	**Yes +$0.4M**
PS · lean pilot	No −$3.6M	No −$2.1M
PS · sales-led team	No −$9.5M	No −$6.8M
PS · solution play	No −$1.2M	No −$0.4M

Reading Fixed team cost is what sinks staffed options. The cheapest structure — templates, data providers, a partner listing, no vertical team — loses least (Base −$0.54M) and is the only one that beats Option 0, in distribution Upside.

Source: 07_Financial_Model v2 — quarterly funnel model 2027–29; NPV at 12% after an incrementality haircut; Option 0 = the same non-CS spend in Clay's core motion at a discounted benchmark payback (S47). Deterministic Base and Upside [C/D].

Correlated uncertainty doesn't rescue the case: P(NPV > 0) is ≈0% for every staffed option



Option (5,000 draws)	Mean NPV	P90	P(NPV > 0)
Dist · lean pilot, staged	−$1.49M	−$0.87M	0%
Dist · sales-led team	−$5.32M	−$4.78M	0%
Dist · solution play	−$0.51M	−$0.39M	0%
PS · lean pilot, staged	−$1.66M	−$0.90M	0%
PS · solution play	−$0.61M	−$0.54M	0%

Robustness (distribution lean pilot)	P(NPV > 0)
Base specification	0%
Near-comonotonic (≈ joint scenarios)	1%
Ranges 2× wider + strong correlation	10%

Upside requires every input to be favorable at once; v1 weighted that joint case at 20%.

Source: 07_Financial_Model v2 › Monte Carlo — appendix/clay_engine.py (Python mirror reconciled to the workbook run by run); triangular(Downside, Base, Upside) inputs, Gaussian copula ρ = 0.5 within groups, 5,000 draws, seed 42; Gate 1 with observation noise [C/D].

Recommended path: validate in distribution, then at most a no-team solution play — never a vertical team up front

A · Validation sprint

Nov 2026 – Mar 2027 · cap ≤ $0.2M

4236 + 4238 · coverage, demand, conversion, committed usage, partners

Gate 1: solution play or stop

Default: stop

B · Solution play

Apr – Dec 2027 (only if Go) · cap ≈ $0.3M

Templates, data providers, partner listing; existing AEs at a variable cost; no vertical lead

Gate 2: continue only on the Upside track (≥ 40 opps, ≥ 7 customers, ACV ≥ $10K)

Default: stop

C · Lean pilot

2028 at the earliest · cap re-planned at Gate 2

Only if the play is on track and borrowed AE capacity binds

Re-run the model; fund only if NPV beats Option 0

Default: fold into horizontal

If the answer is Go — how to go to market

ICP	100–499 employees, multi-branch, 15+ territory sellers, CRM in place, selling to contractors and plants; SMB self-serve only	**Motion**	Clay-run outbound + templates + listed partners; existing AEs close; no dedicated AEs until capacity binds
Pricing	List price, Growth annual, no vertical discount; credit sizing by territory; promotional credits, not price cuts	**Not funded**	Vertical lead, dedicated AEs, native ERP connector, separate vertical marketing — before Gate 2

Sources: 08_GTM_Strategy v2; 09_Implementation_Roadmap v2; 07_Financial_Model v2 (solution play, Base and Upside) [C/D/E]. Budget items are judgment estimates [D/E].

The sprint tests five assumptions against thresholds set in advance — the default outcome is stop

Test	What it measures	Base → Upside (model)	Pass threshold	Owner (function)
T1 Coverage	Verified decision-maker contacts on 200 contractor/plant accounts vs best single database	—	≥ 1.5×	GTM eng., data partnerships
T2 Demand	Clay-run outbound to ≥ 600 ICP accounts (300 per sub-industry)	3.0% → 4.5%	≥ 4.0% meetings	Marketing ops
T3 Conversion	Meetings that become qualified opportunities	40% → 50%	≥ 45%	Sales leadership
T4 Value (mandatory)	Committed annual credits of ≥ 5 paid design partners at list	$9.8K → $14.6K	**MM ACV ≥ $14.6K**	Deal desk
T5 Delivery	Implementation partners committing named consultants	2 → 3	≥ 3	Partnerships

Decision rule (end of March 2027)
Go to the solution play if T4 passes and at least three of T1, T2, T3, T5 pass. One more quarter (no extra cap) if T4 passes and only two others do. Otherwise stop: templates and data sources stay in the horizontal library.

Why these tests
They are the inputs public data cannot pin down and the largest NPV swings in the model (usage, win and conversion rates, demand). Samples are small — 600 accounts give ~18 vs ~27 meetings at 3% vs 4.5% — so several tests must pass together.

Sources: 09_Implementation_Roadmap v2; thresholds sit at the Upside values of 07_Financial_Model v2 [E]; owners are business functions, not Clay's actual org structure.

Appendix

A1 What changed after the partner review (v1 → v2)
A2 Hypothesis verdicts
A3 How the market was sized: firms, not establishments
A4 What moves NPV: sensitivity
A5 Arguments for doing more — and what would change the recommendation
A6 Key scenario assumptions
A7 Limitations and principal sources

A1 · A partner review found five critical flaws; fixing them reversed the recommendation

Issue	v1	v2	Effect
C1 Sales-led comparison	AEs could not create pipeline — result true by construction	AEs prospect; program spend buys MQLs	Sales-led adds ARR ($0.82M vs $0.51M) but NPV −$5.4M
C2 Win mix	Fixed 50/38/12; enterprise accounts converting 5.4× SMB	Derived from the account base	ACV $13.8K → $8.8K
C3 Valuation	Undiscounted; 20% weight on an all-favorable case; perfect gate	NPV at 12%; incrementality; Monte Carlo; noisy gate	P(NPV > 0) ≈ 0% for staffed options
C4 Alternatives	Distribution vs zero only	Prof. services, Option 0, solution play on one engine	Every staffed option loses to Option 0
C5 Scorecard	Seller density counted 3×, coverage proxy 2×	One indicator per criterion	Lead +0.56 → tie (−0.06)
M1/M2 Sizing	Uniform ACV; CRM-ready 65%	Usage-based ACV; CRM in use 56%	TAM/SAM −30% to −45%

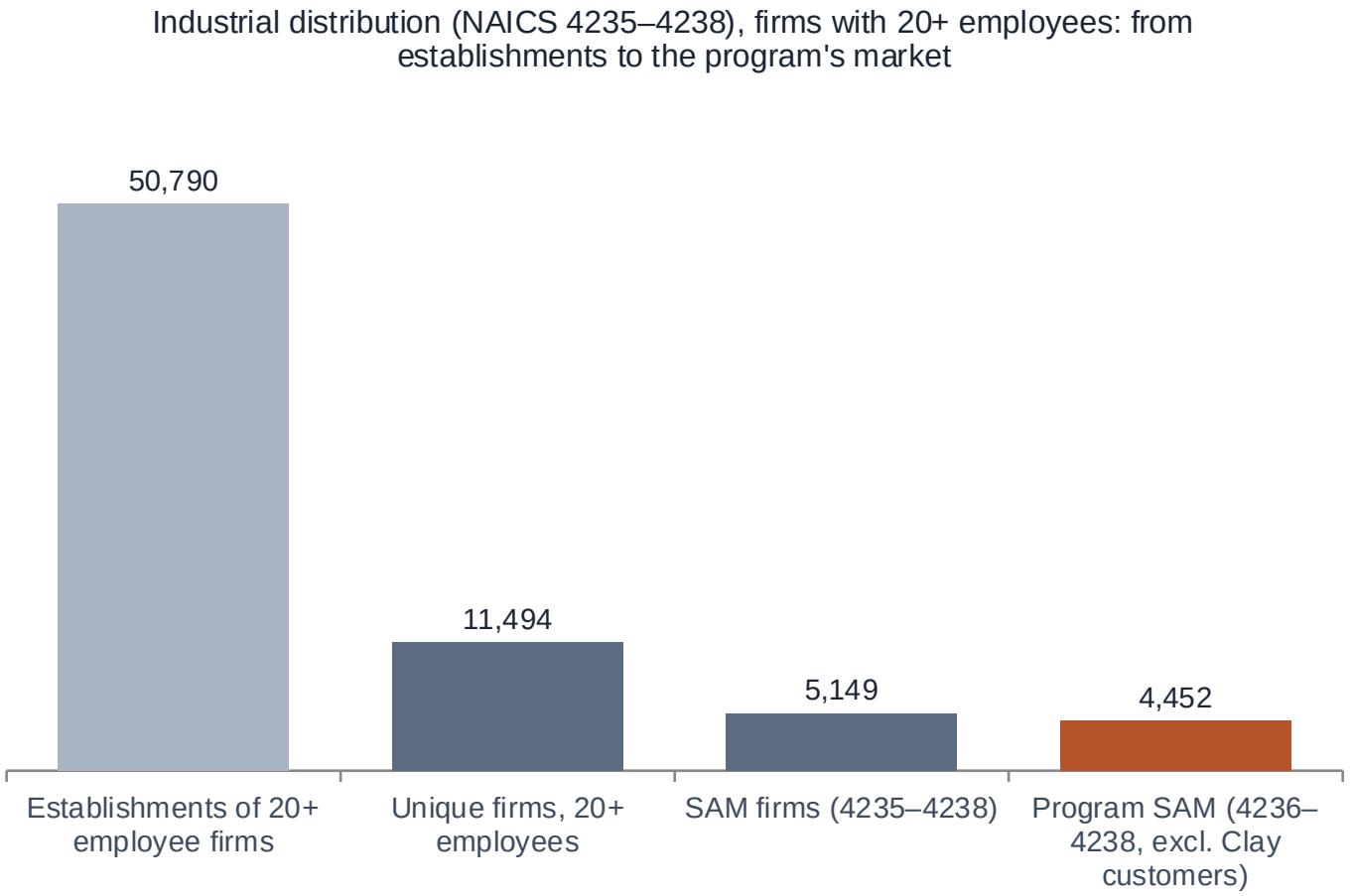
Sources: review/Partner_Review_2026-10-19.md; Change Log sheets in 06 and 07 v2. v1 deck, workbooks and documents archived in appendix/archive/.

A2 · Hypothesis verdicts after v2: the case for a vertical now fails on economics, not on need

ID	Hypothesis	Verdict	Key evidence
H1	“B2B manufacturing” is too broad; narrow to core subsectors	**Supported**	Core 4 subsectors ≈ 39% of 20+ manufacturers
H2	Distribution's mid-market pool is ≥ 50% of professional services'	**Rejected**	35% of professional services' 20–499 pool
H3	Industrial buyer personas are poorly covered by LinkedIn-based data	**Supported (proxy)**	26% vs 42% est. presence; sprint T1 to measure
H4	Builder capacity, not need, is the binding constraint	**Supported**	Computer occupations 0.69× average
H5	Clay's edge is complementary, not substitutive	**Supported**	Layers on CRM; no CRM/ERP of its own
H6	Industrial ACV sits in the Growth-tier range (~$5–25K)	**Supported**	$5.4K SMB · $9.7K mid-market (usage build)
H7	Sales-led fails 24-month payback; partner-led can	**Rejected (2nd half)**	Both fail: lean pilot NPV −$1.89M; sales-led −$5.44M
H8	Even Upside is a small share of Clay ARR	**Supported**	Upside exit ARR $3.0M ≈ 1.5% of est. $200M
H9	Professional services has better risk-adjusted returns	**Tie on score; worse on economics**	Both 3.8, ranges overlap; NPV −$2.04M vs −$1.89M
H10	Manufacturers are best reached through distribution	**Directional**	Manufacturing sales share 0.32× average

Sources: 01_Project_Charter (hypotheses set before research); verdicts from 03, 05, 06 and 07 v2. Evidence classes: A fact · B benchmark · C estimate · D assumption · E recommendation.

A3 · Sizing counts firms, not establishments — among distributors with 20+ employees, establishments would overstate buyers 4.4×

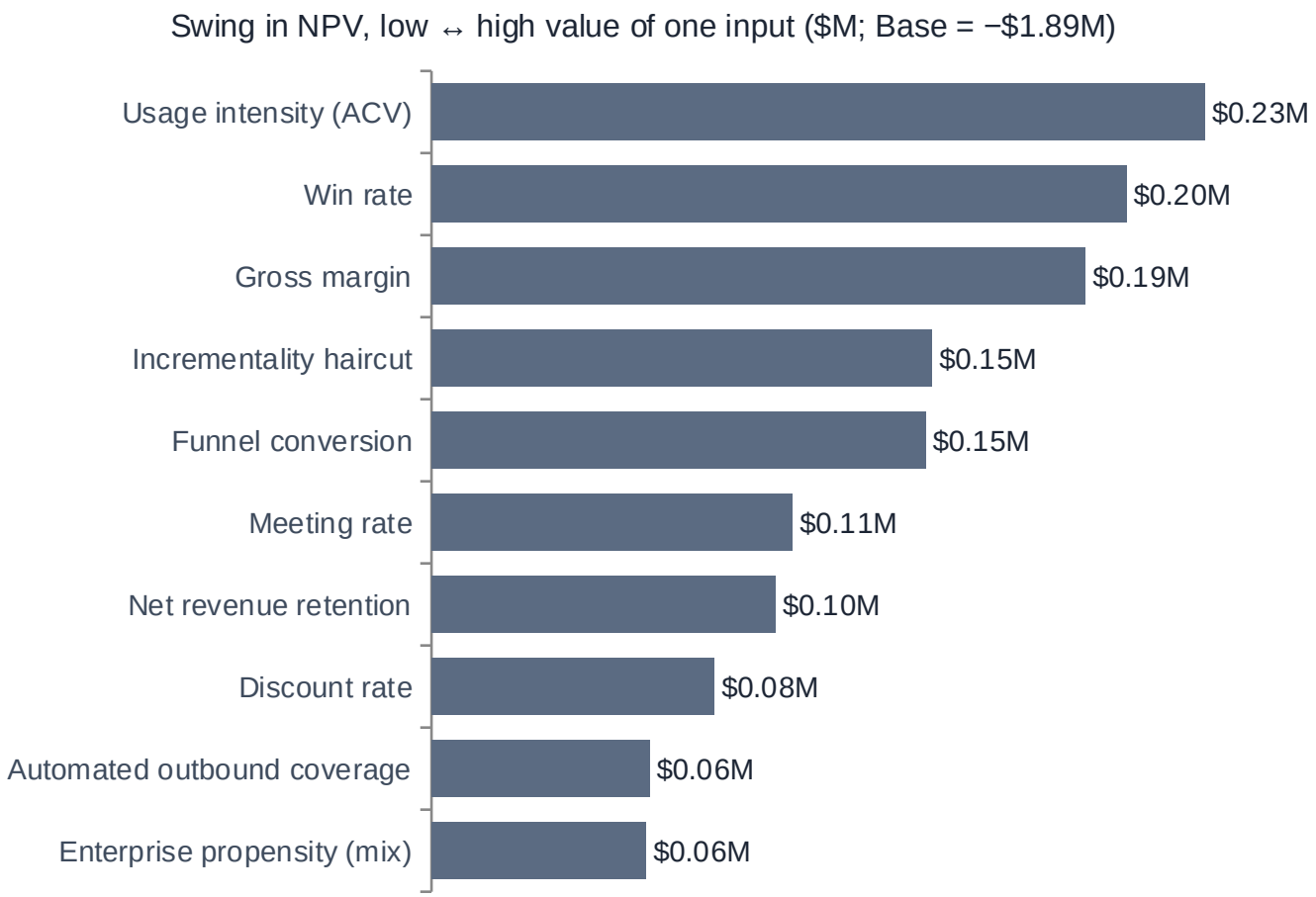


Method choices

- Like for like: both bars cover firms with 20+ employees, the sizing scope. All sizes: 102,922 establishments vs 61,065 unique firms (1.69×)
- A de-duplication factor (sector ÷ Σ sub-industries) removes firms counted in several sub-industries, by size band (~1–3% in distribution)
- Suppressed 4235 cells (475 firms; their establishments) recovered as residuals from published totals [C]
- SAM filters: active outbound motion (80%) × CRM in use (56%, 2026 survey)
- Manufacturers' sales branches are 4–22% of the 500+ band (Census type of operation); removing them changes no conclusion

Sources: Census 2022 Economic Census, Employment Size of Firms (S14) and Type of Operation (S58); 02_Market_Sizing v2 › Firm_Counts Blocks 3–7 (de-duplication, imputation, establishments, sales branches) and TAM_SAM_SOM [C/D]; 07_Financial_Model v2 Market Sizing.

A4 · Usage intensity and win rate move NPV most — but no single input turns it positive



What would have to be true

- Even a 40% win rate with 3× the base usage (ACV ~$20K) leaves the lean pilot at −$0.44M and the solution play at +$0.16M — still below Option 0
- Usage alone would need ~6.4× the base build for the lean pilot to break even
- The Option 0 hurdle would have to fall to ~0.08× benchmark efficiency for the Base pilot to tie it
- So the sprint tests several inputs together; no single good number can carry the case

Source: 07_Financial_Model v2 › Sensitivity — distribution lean pilot, Base; one input at a time between its Downside and Upside values (ICP tilt 1×↔3×, discount 15%↔8%) [C/D].

A5 · Arguments for doing more — and what would change the recommendation

Argument for a bigger bet	Why it does not change the call (yet)	What would change it
Clay reports enterprise NRR > 200% (S02)	Company-wide figure, driven by software and AI customers; the model already assumes 115% for enterprise distributors	Design partners expanding usage ≥ 1.5× within two quarters
Regency Supply shows real distributor value (S07)	One self-selected case study; its builder was unusually technical	T1 coverage uplift and T4 committed usage across 5+ design partners
A vertical data moat (contractor, permit, project data) has strategic value beyond 2029	Not priced in the model; also available through a data-led play at near-zero GTM cost	Evidence that vertical data drives retention or pricing power in Clay's core
The model's negatives rest on assumed inputs	True — which is exactly why the recommendation is a sprint, not a flat no	Sprint results at the Upside thresholds
Option 0's efficiency (0.6×) may be too generous to the core	The Base pilot ties Option 0 only at ~0.08×; even against zero it is NPV-negative	Clay data showing marginal core spend is far below benchmark

Sources: Business Wire / Clay (S02); Clay case study (S07); 07_Financial_Model v2 Sensitivity and Monte Carlo; review/Partner_Review_2026-10-19.md.

A6 · Key scenario assumptions (distribution: Downside / Base / Upside)

Input	Downside	Base	Upside	Class	Basis
SAM filters (outbound × CRM in use) — fixed	80% × 56%	**80% × 56%**	80% × 56%	D/B	Phase 1; Phocas/DSG 2026 (S25)
Meeting rate (automated outbound)	2.0%	**3.0%**	4.5%	D	Cold outbound 1–5% [K]
Meeting → opportunity / win rate	30% / 15%	**40% / 21%**	50% / 30%	B/D	SQL→opp 42% (S49); HubSpot avg win 21% (S48)
Enterprise opportunity propensity (SMB = 1)	0.5	**0.7**	0.9	D	Win mix derived, not assumed
Usage intensity (sets ACV)	0.75×	**1.0×**	1.5×	D	Usage build at list prices (S01)
GRR / NRR, mid-market	86% / 98%	**90% / 106%**	93% / 115%	B	SaaS Capital 2025 (S43)
Gross margin	55%	**65%**	72%	D	Data-heavy margins below 80% (S52)
Incrementality haircut (wins that would happen anyway)	30%	**20%**	10%	D	Prof. services 60% / 45% / 30%
Discount rate / Option 0 marginal efficiency	12% / 0.6×	**12% / 0.6×**	12% / 0.6×	D	Payback benchmark 14–18 months (S47)
Cost per extra MQL (program spend above base)	$600	**$400**	$250	B/D	SaaS CPL $200–350 (S55)

Source: 07_Financial_Model v2 › Assumptions — every input carries its evidence class, Monte Carlo group and source. Benchmarks: SaaS Capital 2025 (S43), Bridge Group 2026 (S44), HubSpot via S48, Digital Bloom (S49), partner margins (S50), CPL (S55).

A7 · Limitations and principal sources

Limitations

- No interviews, surveys or Clay internal data; win rates, margins, partner economics and Option 0 efficiency are benchmarks or assumptions
- Database-coverage gap is an education-based proxy; a 100-firm CSLB coverage test is designed and sampled but not yet run
- ACV is a list-price usage build; Clay pricing changed in March 2026 and may change again
- Monte Carlo results depend on the input ranges and correlation (robustness reported)
- Census firm counts are for 2022; manufacturers' sales branches (4–22% of 500+ distributors) are bounded, not removed
- Persona-vertical and data-led alternatives are named but not yet modeled

ID	Source	Date
S01	Clay pricing page (plans, credits, actions)	Oct 2026
S14	U.S. Census Bureau, 2022 Economic Census — Employment Size of Firms	Ref. 2022
S15	U.S. BLS, OEWS industry-specific estimates	May 2025
S16	Vendr, Clay buyer pricing data	Feb 2026
S23	Sacra, Apollo and Clay revenue estimates	Sep 2026
S25	Phocas / DSG, State of Sales in Distribution	2026
S43	SaaS Capital, B2B SaaS Retention Benchmarks	Sep 2025
S44	Bridge Group, AE Models, Motions & Metrics	Jun 2026
S47	SaaS Hero (Maxio et al.), CAC payback benchmarks	Jul 2026

Full register (59 entries with dates, reliability and limitations): Research_Sources.csv. Workbooks, build scripts and the Python engine: 02, 04, 06, 07 and appendix/.